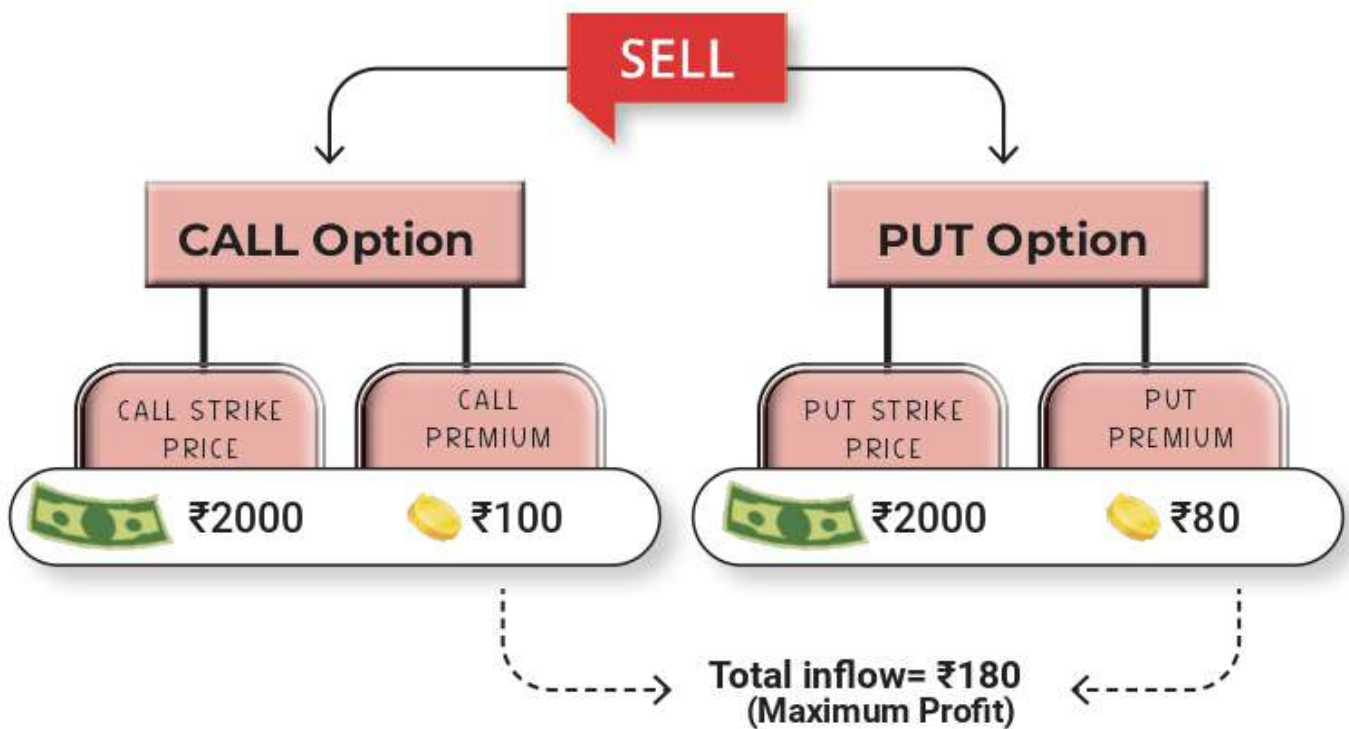


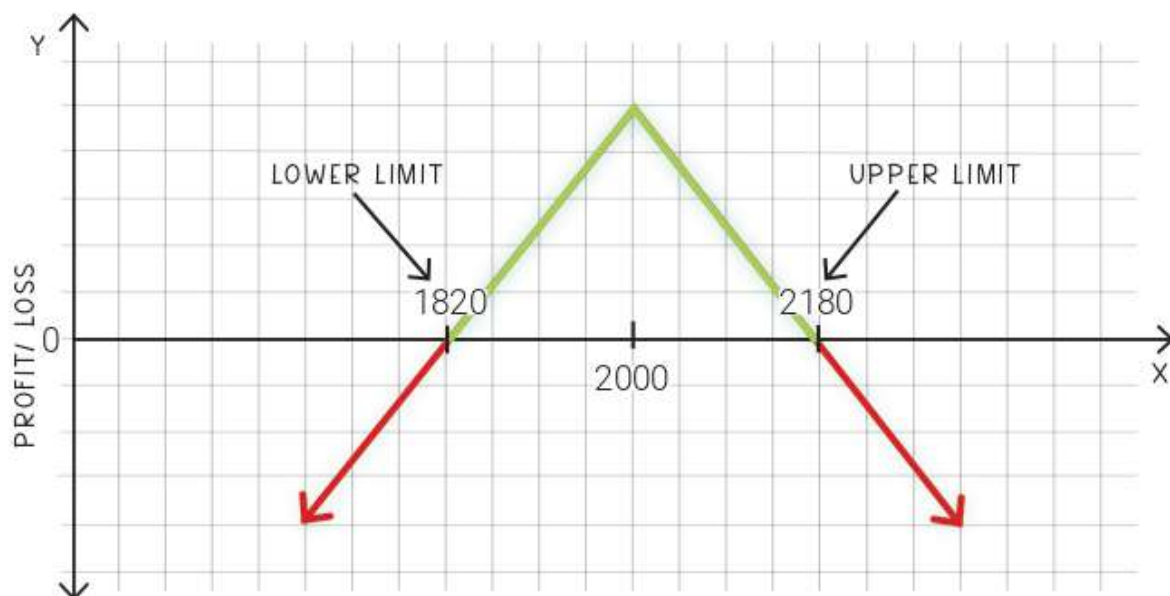
For instance, again, we have a stock at CMP = ₹2000. With this, to create a short straddle, we will sell a Call and a Put at a Strike Price of ₹2000. The respective premiums for the two are, Call Premium = ₹100, Put Premium = ₹80. The time to expiry and Lot size being the same.



Now, in this strategy, we want the price movement in the markets to be low (limited to a range). The direction does not matter but low volatility does. If the price moves more than ₹180, we would have a loss. We want the price movement to be limited to a range with respect to this amount.

Limited Range = Strike price +/- Total Premium.

In this case, we want the price to move within the range of ₹1820 – ₹2180.



Again as we discussed, we do not have any position on the direction of the movement. We are taking a position on the expected volatility. When we use short straddle, we want low volatility i.e. the price to be in the range of ₹1820 and ₹2180 in this case.